UNIVERSITI TUNKU ABDUL RAHMAN

ACADEMIC YEAR 2016/2017

SEPTEMBER EXAMINATION

UKFF4024 MULTINATIONAL FINANCE

TUESDAY, 20 SEPTEMBER 2016 TIME: 2.00 PM – 5.00 PM (3 HOURS)

BACHELOR OF INTERNATIONAL BUSINESS (HONS)

Instructions to candidates:

Section A: [Total: 40 marks]

ONE (1) question is compulsory and **MUST** be answered.

Section B: [Total: 60 marks]

TWO (2) questions **ONLY** to be answered.

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Section A – Answer ALL questions. (Compulsory) **[Total: 40 marks]**

Q1. (a) Consider the balance sheets of Bank X and Bank Y. Bank X is in Italy and Bank Y is in US. The current exchange rate is €1.00 = $1.25. Show the correct answer for the missing items in the NEW column of both banks if a currency trader employed at Bank X buys €100,000 from a currency trader at Bank Y for $125,000 using its correspondent relationship with Bank Y. (Write out the two accounts for each bank for your answers) (6 marks)

Bank X (Italy) 000s

Assets	OLD	NEW	Liabilities and Equity	OLD	NEW
€ deposit at Y	€500		Y's Eurodollar deposit	$900	
$ deposit at Y	$800		Y's € deposit	€220	
Cash in the Vault	€200	€200	Other Liabilities	€300	€300
Other Assets	€400	€400	Owners Equity	€500	€500
Total Assets @ €1.00 = $1.25	€1,740		Total Liabilities & Equity @ €1.00 = $1.25	€1,740	

Bank Y (US) 000s

Assets	OLD	NEW	Liabilities and Equity	OLD	NEW
Eurodollar Deposit at X	$900		X's euro deposit	€500	
€ deposit at X	€220		X's $ deposit	$800	
Cash in the Vault	$200	$200	Other Liabilities	$200	$200
Other Assets	$600	$600	Owners Equity	$350	$350
Total Assets @ €1.00 = $1.25	$1,975		Total Liabilities & Equity @ €1.00 = $1.25	$1,975	

(b) Bank X in Italy has a US customer which is a MNC that wishes to explore investment opportunities in Italy but is concerned about foreign exchange risk. The US customer is keen to use currency futures or forward contracts but is unsure which to choose. Explain to the MNC the difference between these two types of derivative instruments. (16 marks)

Section A Q1. (Continued)

(c) This US MNC's customer has the following transactions reported. Classify and identify the sub-component of the current account or the capital and/or financial accounts of the two countries involved.

(i) The U.S. MNC imports wine from Chile.

(ii) The U.S. MNC purchases a euro-denominated bond from a German company.

(iii) The US MNC imports Spanish oranges, paying with eurodollars on deposit in US.

(iv) A London-based insurance company buys U.S. corporate bonds issued by the US MNC for its investment portfolio

(v) The US MNC buys insurance from a London insurance broker.

(10 marks)

(d) Describe the various sources of internal and external funds available for the financing of a foreign subsidiary. (8 marks)

[Total: 40 marks]

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Section B – Answer TWO (2) questions only. **[Total: 60 marks]**

Q1. (a) Distinguish between the assumptions and objectives of the shareholder wealth maximization model (SWM) and Corporate Wealth Maximisation (CWM) model. (18 marks)

(b) Discuss the act of speculation in a foreign exchange market and how this act can be destabilizing. (6 marks)

(c) What are the advantages and disadvantages of limiting a firm's activities to exporting compared to producing abroad? (6 marks)

[Total: 30 marks]

Q2. (a) Swiss franc/dollar = SFr1.5971/$
Australian dollar/U.S. dollar = A$1.8215/$
Australian dollar/Swiss franc = A$1.1440/SFr

Ignoring transaction costs, given the above quotes do you noticed any arbitrage opportunity? If there is an arbitrage opportunity, explain why this opportunity exists and what action would you take to make an arbitrage profit. (6 marks)

(b) Identify **FOUR** (4) main types of transactions from which transaction exposure arises and explain the differences between operating exposure and transaction exposure? (14 marks)

(c) Discuss **FIVE (5)** reasons a firm might cross-list and sell its shares on a very liquid stock exchange. (10 marks)

[Total: 30 marks]

Q3. (a) Omega Industries, a U.S. MNC, is contemplating making a foreign capital expenditure in South Africa. The initial cost of the project is ZAR10,000. The annual cash flows over the five year economic life of the project in ZAR is estimated to be 3,000, 4,000, 5,000, 6000, and 7,000. The parent firm's cost of capital in dollars is 9.5 percent. Long-run inflation is forecasted to be 3 percent per annum in the U.S. and 7 percent in South Africa. The current spot foreign exchange rate is ZAR/USD = 3.75. Determine the NPV for the project in USD by:

(i) Calculating the NPV in ZAR using the ZAR equivalent cost of capital according to the Fisher Effect and then converting to USD at the current spot rate. (8 marks)

Section B Q3. (a) (Continued)

(ii) Converting all cash flows from ZAR to USD at Purchasing Power Parity forecasted exchange rates and then calculating the NPV at the dollar cost of capital. (10 marks)

(iii) Are the two dollar NPVs different or the same? Explain. (4 marks)

(b) Discuss the pros and cons of a MNC having a centralized cash manager handling all investment and borrowing for all affiliates of the MNC versus each affiliate having a local manager who performs the cash management activities of the affiliate. (8 marks)

[Total: 30 marks]